Business Environment & Ethics - Set 16

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. Corporate governance is best described as
A. Government control of firms
B. A marketing strategy
C. The system by which companies are directed and controlled
D. A tax method

2. Carbon footprint means
A. The area of a factory
B. Number of trees planted
C. Amount of coal produced
D. Total greenhouse gas emissions caused by an individual or organisation

3. Under Section 135, if a qualifying company fails to spend the prescribed CSR amount, it must
A. Face no consequence
B. Disclose the reasons in the Board's Report and transfer the unspent amount as per rules
C. Dissolve the company
D. Pay an extra dividend

> **Case:** India in 1991: In 1991, India's foreign exchange reserves had fallen so low that they could barely pay for a few weeks of imports. The government pledged gold, devalued the rupee and launched sweeping economic reforms. The reforms were led by Prime Minister P. V. Narasimha Rao and his Finance Minister.

4. The devaluation of the rupee in 1991 was intended to:
A. Boost exports and correct the balance of payments
B. Increase imports
C. Raise foreign exchange outflow
D. Reduce exports

5. The Forest Rights Act, 2006 recognises the rights of
A. Mining firms
B. Timber merchants
C. Forest-dwelling tribal and other communities
D. Foreign investors

6. The "Polluter Pays" principle means that
A. The one who causes pollution should bear the cost of the damage
B. The government pays for all pollution
C. Consumers pay for pollution
D. Nobody pays

7. Internal controls help ensure
A. Accurate records and prevention of fraud
B. Higher prices
C. More advertising
D. Lower wages

8. Privatisation means
A. Transfer of ownership from private to public sector
B. Opening a new government company
C. Transfer of ownership or management from public to private sector
D. Banning private firms

9. The Maternity Benefit Act, 1961, as amended in 2017, provides paid maternity leave of ___ weeks for the first two children.
A. 12

B. 16
C. 26
D. 20

10. Under Indian law, employment of children below the age of ___ in any occupation is prohibited.
A. 12 years
B. 14 years
C. 16 years
D. 18 years

11. The OECD Guidelines for Multinational Enterprises are
A. Binding criminal law
B. Tax treaties
C. Trade tariffs
D. Voluntary recommendations for responsible business conduct

12. The growth of IT and BPO sectors after reforms has opened up
A. Jobs only for farmers
B. Jobs only in government
C. Job opportunities for educated youth, including women
D. No new jobs

13. Business ethics means
A. Maximising profit by any means
B. Following only tax rules
C. Applying ethical principles to business decisions and conduct
D. Advertising honestly only

14. Employees' right to know about workplace hazards is part of
A. Occupational health and safety
B. Marketing
C. Taxation
D. Logistics

15. The macro environment consists of
A. Forces that affect only one firm
B. Only suppliers and customers
C. Only employees and managers
D. Larger societal forces that affect all firms in the economy

16. Which policy is often described as the "Economic Constitution of India"?
A. Industrial Policy, 1991
B. Industrial Policy Resolution, 1948
C. Industrial Licensing Policy, 1970
D. Industrial Policy Resolution, 1956

17. Population size, age structure and gender ratio are part of the
A. Political environment
B. Legal environment
C. Technological environment
D. Demographic environment

18. The Tata Code of Conduct applies to
A. Only Tata customers
B. Only government employees
C. Only Tata shareholders
D. Tata group companies and their employees

19. Sharing information with stakeholders honestly, even when results are poor, shows
A. Weakness
B. Poor strategy
C. Disloyalty

D. Transparency and integrity

20. The Right to Information Act, 2005 promotes transparency in
A. Private homes
B. Public authorities
C. Foreign firms
D. Private clubs

21. In PESTLE, the final letter 'E' stands for
A. Ethical
B. Environmental
C. Educational
D. Employment

> **Case:** EcoWeave Textiles: EcoWeave Textiles has cut water use in dyeing, installed rooftop solar panels and sources organic cotton from farmers it supports with training. It publishes verified data on its water and energy savings every year.

22. A likely long-term benefit for EcoWeave is:
A. Immunity from the law
B. A guaranteed monopoly
C. No need to disclose data
D. Cost savings and a stronger brand

> **Case:** TechNova Industrial Park: A state government sets up an industrial park offering land at subsidised rates, assured power supply and a five-year tax holiday to new firms. It also enforces strict pollution norms on all units in the park. The park's water supply is run by a state-owned corporation, while most factories are privately owned.

23. The state-owned corporation running the water supply reflects the government's role as an:
A. Entrepreneur or producer
B. Auditor
C. Importer
D. Judge

> **Case:** Inflation Control Measures: Inflation in an economy has risen to 7 per cent. The central bank raises the repo rate. The Finance Ministry cuts excise duty on fuel to ease prices. Meanwhile, the securities market regulator tightens disclosure rules for listed companies to protect investors.

24. The cut in excise duty on fuel is an instrument of:
A. Fiscal policy
B. Monetary policy
C. Disinvestment policy
D. Licensing policy

25. Under the Industrial Policy Resolution 1956, Schedule C industries were
A. Reserved for the state
B. Banned
C. Left to the private sector
D. Reserved for foreign firms

26. The "Make in India" initiative was launched in 2014 to
A. Restrict all imports
B. Privatise all banks
C. Promote manufacturing in India
D. Nationalise industries

27. Independent directors help governance by
A. Managing day-to-day operations
B. Bringing objective and unbiased judgement to the board
C. Owning the company
D. Setting prices

28. PESTLE stands for
A. Product, Economic, Social, Technical, Legal, Ethical
B. Political, Economic, Social, Technological, Legal, Environmental
C. Political, Educational, Social, Technological, Legal, Environmental

D. Planning, Economic, Strategic, Technological, Legal, Environmental

29. Manipulating accounts to show a better financial position than the true one is called
A. Window dressing
B. Auditing
C. Budgeting
D. Depreciation

30. The Patents Act in India was enacted in
A. 1970
B. 1957
C. 1999
D. 2005

31. Technological obsolescence means
A. Introduction of new taxes
B. Increase in prices
C. Existing technology or products becoming outdated
D. Fall in demand due to inflation

32. To tide over the 1991 crisis, India approached the
A. World Trade Organisation
B. International Monetary Fund (IMF)
C. UNESCO
D. ASEAN

33. A sustained rise in the general price level is called
A. Deflation
B. Inflation
C. Devaluation
D. Recession

34. The National Guidelines on Responsible Business Conduct (2019) issued by India's Ministry of Corporate Affairs contain ___ principles.
A. Nine
B. Five
C. Seven
D. Twelve

35. Accurate labelling of ingredients on food packs is an example of
A. Truthful disclosure to consumers
B. Price discrimination
C. Market segmentation
D. Cost cutting

36. Rising participation of women in the workforce increasing demand for ready-to-eat foods is a
A. Legal factor
B. Social factor
C. Natural factor
D. Political factor

37. Availability of funds for expansion within the company is an example of its
A. Political factor
B. Financial resources (internal factor)
C. Demographic factor
D. Legal factor

38. A key advantage of a mixed economy is that it
A. Eliminates all private enterprise
B. Combines private sector efficiency with public sector welfare goals
C. Removes government planning
D. Bans foreign trade

39. Sustainable practices benefit firms through
A. Cost savings and improved reputation
B. Higher pollution
C. Legal penalties
D. Loss of customers

40. The best response of a firm to an uncontrollable external change is generally to
A. Ignore it
B. Blame the government
C. Adapt its strategy
D. Shut down immediately

41. The Cadbury Committee of 1992 was a landmark committee on
A. Consumer protection
B. Environmental law
C. Labour law
D. Corporate governance in the UK

42. The right to consumer education means
A. Right to free schooling only
B. Right to free books
C. Right to acquire the knowledge and skills to be an informed consumer
D. Right to vote

43. Which of the following is a legal factor?
A. Inflation
B. Lifestyle
C. Climate change
D. Companies Act, 2013

44. Employees' right to safe working conditions in factories in India was traditionally protected by the
A. Competition Act, 2002
B. SEBI Act, 1992
C. Factories Act, 1948
D. FEMA, 1999

45. If the rupee depreciates against the US dollar, imports into India become
A. Costlier
B. Cheaper
C. Free of duty
D. Unaffected

46. Inflation, income levels and interest rates are part of the
A. Economic environment
B. Social environment
C. Natural environment
D. Legal environment

> **Case:** The Factory and the Village: An Ethical Dilemma: A factory provides jobs to 5,000 workers but its fumes harm 500 nearby villagers. Manager A says the decision should aim at the greatest good for the greatest number. Manager B says harming people is wrong whatever the outcome. Manager C asks what a person of good character would do in this situation.

47. Manager C's reasoning follows:
A. Virtue ethics
B. Utilitarianism
C. Kantian ethics
D. Legal positivism

48. A code stressing strict rule-following and penalties for violations is called a
A. Value-based code
B. Aspirational slogan
C. Compliance-based code

D. Marketing code

49. The concept of "trusteeship" in business is associated with

A. Adam Smith
B. Karl Marx
C. Milton Friedman
D. Mahatma Gandhi

50. The National Green Tribunal handles

A. Tax appeals
B. Labour disputes
C. Disputes and cases relating to environmental protection
D. Banking disputes

Answer key - Set 16

1. **C**	11. **D**	21. **B**	31. **C**	41. **D**
2. **D**	12. **C**	22. **D**	32. **B**	42. **C**
3. **B**	13. **C**	23. **A**	33. **B**	43. **D**
4. **A**	14. **A**	24. **A**	34. **A**	44. **C**
5. **C**	15. **D**	25. **C**	35. **A**	45. **A**
6. **A**	16. **D**	26. **C**	36. **B**	46. **A**
7. **A**	17. **D**	27. **B**	37. **B**	47. **A**
8. **C**	18. **D**	28. **B**	38. **B**	48. **C**
9. **C**	19. **D**	29. **A**	39. **A**	49. **D**
10. **B**	20. **B**	30. **A**	40. **C**	50. **C**

Answers with explanations

1. Corporate governance is best described as

Answer: C. The system by which companies are directed and controlled

Why correct: Corporate governance is the system by which companies are directed and controlled.

A is wrong: It is not government control.

B is wrong: It is not marketing.

D is wrong: It is not a tax method.

2. Carbon footprint means

Answer: D. Total greenhouse gas emissions caused by an individual or organisation

Why correct: Carbon footprint is the total greenhouse gas emissions caused by a person or organisation.

A is wrong: Factory area is not emissions.

B is wrong: Trees planted is not emissions.

C is wrong: Coal production is not a footprint.

3. Under Section 135, if a qualifying company fails to spend the prescribed CSR amount, it must

Answer: B. Disclose the reasons in the Board's Report and transfer the unspent amount as per rules

Why correct: If CSR money is unspent, the Board must explain and the amount is transferred as per rules.

A is wrong: There are consequences.

C is wrong: The company is not dissolved.

D is wrong: Extra dividend is irrelevant.

4. The devaluation of the rupee in 1991 was intended to:

Answer: A. Boost exports and correct the balance of payments

Why correct: Devaluation made exports cheaper and helped the balance of payments.

B is wrong: It raises, not boosts, imports cost.

C is wrong: It aims to reduce outflow.

D is wrong: It aims to increase exports.

5. The Forest Rights Act, 2006 recognises the rights of

Answer: C. Forest-dwelling tribal and other communities

Why correct: The Forest Rights Act recognises rights of forest-dwelling communities.

A is wrong: Mining firms are not the beneficiaries.

B is wrong: Timber merchants are not the beneficiaries.

D is wrong: Foreign investors are not the beneficiaries.

6. The "Polluter Pays" principle means that

Answer: A. The one who causes pollution should bear the cost of the damage

Why correct: Polluter Pays: whoever causes pollution bears the cost.

B is wrong: The government does not pay for all.

C is wrong: Consumers do not pay for the polluter.

D is wrong: Someone must pay.

7. Internal controls help ensure

Answer: A. Accurate records and prevention of fraud

Why correct: Internal controls help keep records accurate and prevent fraud.

B is wrong: They do not raise prices.

C is wrong: They do not increase advertising.

D is wrong: They do not lower wages.

8. Privatisation means

Answer: C. Transfer of ownership or management from public to private sector

Why correct: Privatisation transfers ownership or management from public to private.

A is wrong: That is nationalisation.

B is wrong: That is not privatisation.

D is wrong: Banning private firms is the opposite.

9. The Maternity Benefit Act, 1961, as amended in 2017, provides paid maternity leave of ___ weeks for the first two children.

Answer: C. 26

Why correct: Paid maternity leave is 26 weeks for the first two children after the 2017 amendment.

A is wrong: 12 weeks was the old limit.

B is wrong: 16 weeks is wrong.

D is wrong: 20 weeks is wrong.

10. Under Indian law, employment of children below the age of ___ in any occupation is prohibited.

Answer: B. 14 years

Why correct: Indian law prohibits employing children below 14.

A is wrong: 12 is wrong.

C is wrong: 16 is wrong.

D is wrong: 18 is wrong.

11. The OECD Guidelines for Multinational Enterprises are

Answer: D. Voluntary recommendations for responsible business conduct

Why correct: OECD Guidelines are voluntary recommendations for responsible business.

A is wrong: They are not criminal law.

B is wrong: They are not tax treaties.

C is wrong: They are not tariffs.

12. The growth of IT and BPO sectors after reforms has opened up

Answer: C. Job opportunities for educated youth, including women

Why correct: IT and BPO opened jobs for educated youth, including women.

A is wrong: Not only farmers.

B is wrong: Not only government.

D is wrong: New jobs were created.

13. Business ethics means

Answer: C. Applying ethical principles to business decisions and conduct

Why correct: Business ethics applies ethical principles to business decisions.

A is wrong: Profit by any means is unethical.

B is wrong: Tax rules alone are not ethics.

D is wrong: Honest advertising is only one part.

14. Employees' right to know about workplace hazards is part of

Answer: A. Occupational health and safety

Why correct: Knowing workplace hazards is part of occupational health and safety.

B is wrong: Marketing is unrelated.

C is wrong: Taxation is unrelated.

D is wrong: Logistics is unrelated.

15. The macro environment consists of

Answer: D. Larger societal forces that affect all firms in the economy

Why correct: The macro environment is the larger societal forces affecting all firms.

A is wrong: Forces on one firm are micro.

B is wrong: Suppliers and customers are micro.

C is wrong: Employees and managers are internal.

16. Which policy is often described as the "Economic Constitution of India"?

Answer: D. Industrial Policy Resolution, 1956

Why correct: The 1956 resolution is called the 'Economic Constitution of India'.

A is wrong: The 1991 policy liberalised.

B is wrong: The 1948 resolution laid the base.

C is wrong: The 1970 policy dealt with licensing.

17. Population size, age structure and gender ratio are part of the

Answer: D. Demographic environment

Why correct: Population size, age and gender are demographic.

A is wrong: Political is government.

B is wrong: Legal is laws.

C is wrong: Technological is technology.

18. The Tata Code of Conduct applies to

Answer: D. Tata group companies and their employees

Why correct: The Tata Code of Conduct applies to Tata group companies and their employees.

A is wrong: It is not for customers only.

B is wrong: It is not for government staff.

C is wrong: It is not for shareholders only.

19. Sharing information with stakeholders honestly, even when results are poor, shows

Answer: D. Transparency and integrity

Why correct: Honest sharing, even of poor results, shows transparency and integrity.

A is wrong: It is not weakness.

B is wrong: It is not poor strategy.

C is wrong: It is not disloyalty.

20. The Right to Information Act, 2005 promotes transparency in

Answer: B. Public authorities

Why correct: The RTI Act promotes transparency in public authorities.

A is wrong: Private homes are outside it.

C is wrong: Foreign firms are outside it.

D is wrong: Private clubs are outside it.

21. In PESTLE, the final letter 'E' stands for

Answer: B. Environmental

Why correct: The last E stands for Environmental.

A is wrong: It is not Ethical.

C is wrong: It is not Educational.

D is wrong: It is not Employment.

22. A likely long-term benefit for EcoWeave is:

Answer: D. Cost savings and a stronger brand

Why correct: Savings and a stronger brand are likely long-term benefits.

A is wrong: No immunity from law.

B is wrong: No guaranteed monopoly.

C is wrong: Disclosure continues.

23. The state-owned corporation running the water supply reflects the government's role as an:

Answer: A. Entrepreneur or producer

Why correct: A state-owned corporation running water supply shows the government as entrepreneur.

B is wrong: An auditor checks accounts.

C is wrong: An importer buys abroad.

D is wrong: A judge decides disputes.

24. The cut in excise duty on fuel is an instrument of:

Answer: A. Fiscal policy

Why correct: Excise duty is a tax - fiscal policy.

B is wrong: Monetary uses rates and money supply.

C is wrong: Disinvestment sells stakes.

D is wrong: Licensing is industrial control.

25. Under the Industrial Policy Resolution 1956, Schedule C industries were

Answer: C. Left to the private sector

Why correct: Schedule C industries were left to the private sector.

A is wrong: State reservation was Schedule A.

B is wrong: They were not banned.

D is wrong: Foreign reservation was not a schedule.

26. The "Make in India" initiative was launched in 2014 to

Answer: C. Promote manufacturing in India

Why correct: Make in India promotes manufacturing in India.

A is wrong: It does not restrict imports.

B is wrong: It does not privatise banks.

D is wrong: It does not nationalise industry.

27. Independent directors help governance by

Answer: B. Bringing objective and unbiased judgement to the board

Why correct: Independent directors bring objective, unbiased judgement to the board.

A is wrong: They do not run daily operations.

C is wrong: They do not own the company.

D is wrong: They do not set prices.

28. PESTLE stands for

Answer: B. Political, Economic, Social, Technological, Legal, Environmental

Why correct: PESTLE = Political, Economic, Social, Technological, Legal, Environmental.

A is wrong: 'Product' and 'Ethical' are not in PESTLE.

C is wrong: 'Educational' is not in PESTLE.

D is wrong: 'Planning' and 'Strategic' are not in PESTLE.

29. Manipulating accounts to show a better financial position than the true one is called

Answer: A. Window dressing

Why correct: Dressing accounts to look better than reality is window dressing.

B is wrong: Auditing checks accounts.

C is wrong: Budgeting plans spending.

D is wrong: Depreciation is an expense.

30. The Patents Act in India was enacted in

Answer: A. 1970

Why correct: India's Patents Act was enacted in 1970.

B is wrong: 1957 is the Copyright Act.

C is wrong: 1999 is the Trade Marks Act.

D is wrong: 2005 is the RTI/SEZ year.

31. Technological obsolescence means

Answer: C. Existing technology or products becoming outdated

Why correct: Obsolescence means existing technology or products becoming outdated.

A is wrong: New taxes are not obsolescence.

B is wrong: Price rise is not obsolescence.

D is wrong: Inflation-driven demand fall is different.

32. To tide over the 1991 crisis, India approached the

Answer: B. International Monetary Fund (IMF)

Why correct: India sought help from the IMF in 1991.

A is wrong: The WTO is a trade body.

C is wrong: UNESCO is cultural.

D is wrong: ASEAN is a regional bloc.

33. A sustained rise in the general price level is called

Answer: B. Inflation

Why correct: A sustained rise in general prices is inflation.

A is wrong: Deflation is a fall.

C is wrong: Devaluation is a currency matter.

D is wrong: Recession is a fall in output.

34. The National Guidelines on Responsible Business Conduct (2019) issued by India's Ministry of Corporate Affairs contain ___ principles.

Answer: A. Nine

Why correct: India's 2019 NGRBC has nine principles.

B is wrong: Five is wrong.

C is wrong: Seven is wrong.

D is wrong: Twelve is wrong.

35. Accurate labelling of ingredients on food packs is an example of

Answer: A. Truthful disclosure to consumers

Why correct: Accurate ingredient labels are truthful disclosure.

B is wrong: Price discrimination is different prices.

C is wrong: Segmentation divides markets.

D is wrong: Cost cutting is saving.

36. Rising participation of women in the workforce increasing demand for ready-to-eat foods is a

Answer: B. Social factor

Why correct: Women joining the workforce is a social change.

A is wrong: Legal means law.

C is wrong: Natural means nature.

D is wrong: Political means government.

37. Availability of funds for expansion within the company is an example of its

Answer: B. Financial resources (internal factor)

Why correct: Funds within the company are internal financial resources.

A is wrong: Political is external.

C is wrong: Demographic is external.

D is wrong: Legal is external.

38. A key advantage of a mixed economy is that it

Answer: B. Combines private sector efficiency with public sector welfare goals

Why correct: A mixed economy combines private efficiency with public welfare goals.

A is wrong: It does not eliminate private enterprise.

C is wrong: Planning continues.

D is wrong: Foreign trade is not banned.

39. Sustainable practices benefit firms through

Answer: A. Cost savings and improved reputation

Why correct: Sustainable practices cut costs and improve reputation.

B is wrong: They reduce pollution.

C is wrong: They avoid penalties.

D is wrong: They win customers.

40. The best response of a firm to an uncontrollable external change is generally to

Answer: C. Adapt its strategy

Why correct: The sensible response to an uncontrollable change is to adapt.

A is wrong: Ignoring it is risky.

B is wrong: Blaming does not help.

D is wrong: Shutting down is extreme.

41. The Cadbury Committee of 1992 was a landmark committee on

Answer: D. Corporate governance in the UK

Why correct: The 1992 Cadbury Committee was a landmark on UK corporate governance.

A is wrong: Consumer protection is another area.

B is wrong: Environmental law is another area.

C is wrong: Labour law is another area.

42. The right to consumer education means

Answer: C. Right to acquire the knowledge and skills to be an informed consumer

Why correct: Right to consumer education means acquiring knowledge to be an informed consumer.

A is wrong: Free schooling is not it.

B is wrong: Free books is not it.

D is wrong: Voting is not it.

43. Which of the following is a legal factor?

Answer: D. Companies Act, 2013

Why correct: The Companies Act, 2013 is a law, so a legal factor.

A is wrong: Inflation is economic.

B is wrong: Lifestyle is social.

C is wrong: Climate change is environmental.

44. Employees' right to safe working conditions in factories in India was traditionally protected by the

Answer: C. Factories Act, 1948

Why correct: Factory safety was protected by the Factories Act, 1948.

A is wrong: The Competition Act is about markets.

B is wrong: The SEBI Act is about securities.

D is wrong: FEMA is about foreign exchange.

45. If the rupee depreciates against the US dollar, imports into India become

Answer: A. Costlier

Why correct: A weaker rupee means more rupees per dollar, so imports cost more.

B is wrong: Imports become costlier, not cheaper.

C is wrong: Duty is unrelated.

D is wrong: Imports are affected.

46. Inflation, income levels and interest rates are part of the

Answer: A. Economic environment

Why correct: Inflation, income and interest rates are economic factors.

B is wrong: Social is culture and demographics.

C is wrong: Natural is climate and resources.

D is wrong: Legal is laws.

47. Manager C's reasoning follows:

Answer: A. Virtue ethics

Why correct: Asking what a person of good character would do is virtue ethics.

B is wrong: Utilitarianism counts outcomes.

C is wrong: Kantian ethics follows duty.

D is wrong: Legal positivism follows law.

48. A code stressing strict rule-following and penalties for violations is called a

Answer: C. Compliance-based code

Why correct: A code stressing strict rules and penalties is compliance-based.

A is wrong: A value-based code stresses shared values.

B is wrong: A slogan is not a code.

D is wrong: A marketing code is not a type.

49. The concept of "trusteeship" in business is associated with

Answer: D. Mahatma Gandhi

Why correct: Gandhi gave the idea of trusteeship in business.

A is wrong: Adam Smith wrote on markets.

B is wrong: Karl Marx wrote on class struggle.

C is wrong: Friedman argued profit is the responsibility.

50. The National Green Tribunal handles

Answer: C. Disputes and cases relating to environmental protection

Why correct: The NGT handles environmental protection disputes.

A is wrong: Tax appeals go to tax tribunals.

B is wrong: Labour disputes go to labour courts.

D is wrong: Banking disputes go to DRTs.